

Hindustan Aeronautics Ltd (HAL)

ROE	28.9%
ROCE	38.9%
CFO Quality	Moderate
Capital Allocation	Shareholder Returns

Strengths

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Sustainable dividend payout backed by positive free cash flow.

Risks

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk.